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Dissertation Executive Summary

ESSAYS IN GENDER, EARNINGS AND GEOGRAPHY

by

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Executive Summary

This dissertation studies the role of local labor markets and firms in explaining labor market inequality across genders and workers. The central argument is that geography and firms play an important and often underappreciated role in determining labor market outcomes, and that this role differs substantially between men and women. The dissertation is structured in three self-contained chapters.

Chapter 1: The Geography of Women’s Work: Evidence from Indonesia

One of the most striking patterns in labor market data is the large dispersion in female labor force participation rates within countries. In Indonesia, the gap in women’s employment between a high- and a low-participation district can exceed 20 percentage points—a magnitude comparable to differences observed between some developed and developing countries. Similar patterns emerge in China, the United States, the Philippines, and several other nations. Despite its scale, this within-country spatial dispersion has received limited attention in the literature.

The chapter asks whether these geographic differences reflect sorting—women with certain characteristics selecting into particular places—or whether the local environment itself actively shapes women’s labor supply decisions. To answer this, I use data from Indonesia and exploit variation across women who currently reside in the same labor market but who left their birthplace at different ages during childhood. Two women who now live in the same city, one having emigrated at age 5 and another at age 15, carry very different amounts of exposure to their origin environment. If women who remained longer in high-employment areas are more likely to participate in the labor market as adults, this constitutes evidence that the birthplace environment shapes labor supply beyond the role of selection.

The results show that birthplace has strong and persistent effects on women’s

adult labor supply. Growing up between the ages of 9 and 16 in a locality at the 75th percentile of female employment makes a woman approximately 5 percentage points more likely to participate in the labor market than one raised in a 25th-percentile locality—a substantial effect given a baseline participation rate of around 50%. I estimate that roughly 23% of the current spatial inequality in women’s employment is transmitted to the next generation through birthplace effects. Notably, no analogous effects are found for men, underscoring that the mechanism is specific to women’s labor supply.

The evidence on mechanisms points toward intergenerational transmission of cultural gender norms rather than differences in human capital accumulation. Women from high-employment areas do not attain higher levels of schooling—if anything, the reverse is true—and differences in parental investment or school quality do not account for the pattern. The results are most consistent with a process by which girls internalize prevailing attitudes toward women’s work during a formative period of adolescence.

These findings carry significant policy implications. Much of the existing debate around female labor force participation concentrates on barriers that women face as adults, including childcare costs, workplace discrimination, and job flexibility. The results presented here suggest that a substantial portion of the gap is determined much earlier, during childhood and early adolescence. Interventions that alter the local environments in which girls grow up—by increasing exposure to working women through schools, community programs, or broader social policies—may be at least as consequential as those targeting adult women directly. More broadly, the results imply that spatial inequality in women’s employment is self-reinforcing: areas where female participation is low today are likely to produce the next generation of women who also do not work, making convergence harder to achieve through market forces

alone.

Chapter 2: Gender and the Urban Wage Premium

A well-established finding in labor and urban economics is that workers living in larger cities earn higher wages than those in living smaller ones. This urban wage premium has been documented across many countries and time periods. Less studied is whether the premium differs by gender and how it has evolved over time. This chapter fills that gap by documenting significant gender differences in the level and trend of the premium in the United States between 1970 and 2016.

Using data from six US Decennial Censuses and the American Community Survey, I estimate the urban wage premium separately for men and women, measuring the elasticity of wages with respect to the population of the local labor market. The main finding is that men's and women's premiums evolved very differently over this period. In 1970, the two were similar in magnitude. By 2016, women's urban wage premium was approximately 40% larger than men's. I refer to this divergence as the *rise of women's urban advantage*. The widening gap arises entirely among workers without a college degree: non-college men experienced a sharp decline in their urban wage premium over the period, while non-college women's premium declined only modestly. The divergence is robust to controlling for a wide range of individual and local labor market characteristics, ruling out simple compositional explanations.

The chapter argues that the divergence is explained by gender differences in occupational task content and the differential evolution of urban wage gradients across tasks. Using data from the Dictionary of Occupational Titles, I construct five task indexes capturing non-routine cognitive, social, routine cognitive, routine manual, and non-routine manual content. Since 1970, the urban wage premium for non-routine manual tasks declined sharply and became negative, while the premium for non-routine cognitive tasks increased. Because non-college men perform non-routine

manual tasks far more intensively than women, the decline in that task’s urban premium disproportionately eroded men’s earnings advantage from city size. Conditioning on the interactions between task indexes and city size reduces the estimated women’s urban advantage to zero, confirming that differential task exposure fully accounts for the trend.

These findings contribute to two active areas of research. The first concerns the causes of the declining urban wage premium, which has been extensively documented but remains imperfectly understood. My results show that the decline is concentrated in specific task categories and has affected men substantially more than women, which helps explain why previous aggregate analyses found an overall decline while the female premium remained comparatively stable. The second contribution is to the literature on the geography of the gender wage gap. While most research in this area focuses on national-level trends, my results demonstrate that the spatial dimension of gender wage inequality is substantial and has been reshaped by the same technological forces driving broader changes in the labor market.

Chapter 3: Do Elite Universities Overpay Their Faculty?

A well-documented finding in labor economics is that workers employed at more productive or prestigious firms earn higher wages than equally skilled workers at less prestigious ones—even after controlling for individual characteristics. These firm wage premiums contribute to overall earnings inequality and reflect, in part, the rents generated by being affiliated with a high-quality employer. In this chapter, co-authored with Kevin Lang and Shulamit Khan, we examine whether analogous institution premiums exist in US academia: specifically, whether faculty at more prestigious universities earn more than equally productive colleagues at less prestigious ones.

To answer this question, we apply the Abowd, Kramarz, and Margolis (1990)—

AKM— framework to a large matched employer-employee dataset drawn from the Survey of Doctorate Recipients (SDR) for the period 1993–2019. This approach exploits the salary histories of the subset of faculty who switched institutions, allowing us to estimate institution-level pay premiums that are purged of differences in individual productivity. The dataset covers over 26,000 academics across 679 institutions connected through 1,868 faculty movers, supplemented with institutional characteristics and rankings from the *Times Higher Education* and *US News & World Report*.

The results provide little evidence that elite universities pay a systematic premium over and above what is explained by location. The corrected variance of institution fixed effects is small (0.012) relative to the variance of individual fixed effects (0.105), indicating that most of the dispersion in academic salaries is driven by differences across individuals rather than across employers. More strikingly, once institutional location—whether a university is situated in a large city—is taken into account, the relationship between prestige rankings and institution pay premiums becomes statistically indistinguishable from zero, and the estimates are sufficiently precise to rule out effects larger than modest magnitudes. Institutional endowments, despite their wide variation, similarly have no meaningful impact on faculty salaries conditional on location.

These findings suggest that academia differs from the private sector in an important respect: institutional affiliation generates little in the way of pecuniary rents. Rather than being a source of wage inequality, employer identity in academia is largely irrelevant to salaries once individual characteristics and location are accounted for. The implication is that the higher average salaries observed at elite institutions reflect the concentration of highly productive individuals and the cost of living in large urban centers, not a genuine institutional premium paid over and above those factors.

Concluding Remarks

Taken together, the three chapters offer a coherent perspective on how geography shapes economic outcomes across very different settings. In Indonesia, the locality where a woman grows up partially determines whether she will participate in the labor market as an adult, with effects concentrated in adolescence and most likely mediated by cultural norms. In the United States, the city where a worker is employed shapes how much they earn, and this relationship has evolved over recent decades in ways that have systematically benefited women relative to men. In academia, the city where a university is located turns out to matter far more for faculty salaries than its prestige or financial endowment.

A unifying theme is that geography interacts with gender in ways that are not always intuitive and that aggregate analyses often miss. Understanding these interactions is consequential not only for the study of labor markets, but for the design of policies—on education, urban development, and labor market regulation—aimed at reducing inequality across both place and gender.